

SENATE CHAMBER

STATE OF OKLAHOMA

DISPOSITION

☒ FLOOR AMENDMENT

No. 1

☐ COMMITTEE AMENDMENT

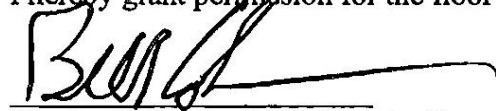
(Date)

I move to amend Senate Bill No. 1500, by substituting the attached floor substitute (Request # 3798) for the title, enacting clause and entire body of the measure.

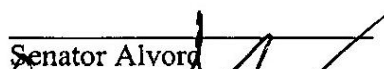
Submitted by:


Senator Jech

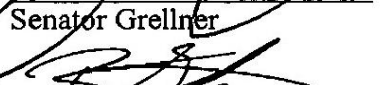
I hereby grant permission for the floor substitute to be adopted.

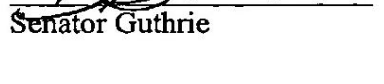


Senator Coleman, Chair (required)

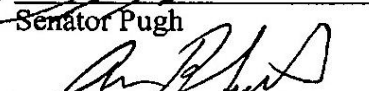

Senator Alvord

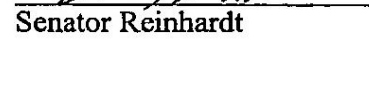

Senator Brooks

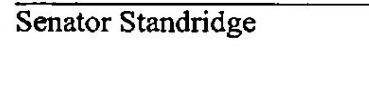

Senator Grellner

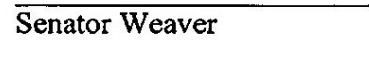

Senator Guthrie

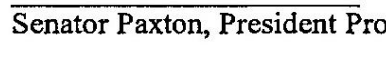

Senator Mann

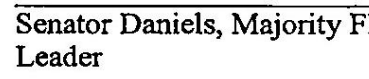

Senator Pugh


Senator Reinhardt


Senator Standridge


Senator Weaver


Senator Paxton, President Pro Tempore


Senator Daniels, Majority Floor Leader

Note: Business and Insurance committee majority requires six (6) members' signatures.

Jech-CAD-FS-SB1500
3/11/2026 8:50 AM

(Floor Amendments Only)

Date and Time Filed:

3-12-26 10:26AM MA

☐ Untimely

☐ Amendment Cycle Extended

☐ Secondary Amendment

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR

SENATE BILL NO. 1500

By: Jech of the Senate

and

Newton of the House

FLOOR SUBSTITUTE

An Act relating to pharmacy benefits managers;
amending 59 O.S. 2021, Section 357, as last amended
by Section 2, Chapter 414, O.S.L. 2025 (59 O.S. Supp.
2025, Section 357), which relates to definitions;
defining terms; modifying definitions; updating
statutory references; updating statutory language;
prohibiting certain payment from being conditioned on
certain provisions; prohibiting certain provider from
bearing certain risks; requiring certain payor to
remit certain payment within certain time frame;
requiring certain payor to provide providers with
certain accounting; establishing certain requirements
for certain accounting; prohibiting certain payor
from certain actions; requiring certain payments made
outside of certain time frame to accrue interest;
authorizing the Attorney General to levy certain
fines; establishing certain contracts as void;
allowing the Attorney General to promulgate rules;
making certain claims applicable to certain
provisions; providing for codification; and providing
an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 59 O.S. 2021, Section 357, as last amended by Section 2, Chapter 414, O.S.L. 2025 (59 O.S. Supp. 2025, Section 357), is amended to read as follows:

Section 357. A. As used in Sections 357 through ~~360~~ 360.1 of this title:

1. "Clean claim" means a claim that is submitted in accordance with all applicable billing requirements, contains all information reasonably necessary for adjudication, and is not subject to an unresolved eligibility or coverage dispute at the time of submission;

2. "Claim" means a request for payment or reimbursement submitted by a provider for prescription drugs, pharmacy-dispensed medical supplies or devices, professional pharmacy services, or manufacturer coupon, copay-assistance, discount card, or other similar transactions;

3. "Covered entity" means a nonprofit hospital or medical service organization, for-profit hospital or medical service organization, insurer, health benefit plan, health maintenance organization, health program administered by the state in the capacity of providing health coverage, or an employer, labor union, or other group of persons that provides health coverage to persons in this state. This term does not include a health benefit plan that provides coverage only for accidental injury, specified disease, hospital indemnity, disability income, or other limited

1 benefit health insurance policies and contracts that do not include
2 prescription drug coverage;

3 ~~2.~~ 4. "Covered individual" means a member, participant,
4 enrollee, contract holder or policy holder or beneficiary of a
5 covered entity who is provided health coverage by the covered
6 entity. A covered individual includes any dependent or other person
7 provided health coverage through a policy, contract or plan for a
8 covered individual;

9 ~~3.~~ 5. "Department" means the Insurance Department;

10 ~~4.~~ 6. "Effective rate contracting" means any agreement or
11 arrangement between a pharmacy or contracting agent acting on behalf
12 of a pharmacy and a pharmacy benefits manager for pharmaceuticals
13 based on the effective rate of payment rather than a predetermined
14 fixed price or fixed discount percentage;

15 ~~5.~~ 7. "Maximum allowable cost", "MAC", or "MAC list" means the
16 list of drug products delineating the maximum per-unit reimbursement
17 for multiple-source prescription drugs, medical ~~product~~ products, or
18 ~~device~~ devices;

19 ~~6.~~ 8. "Multisource drug product reimbursement" (reimbursement)
20 means the total amount paid to a pharmacy inclusive of any reduction
21 in payment to the pharmacy, excluding prescription dispense fees and
22 professional fees;

23 ~~7.~~ 9. "Office" means the Office of the Attorney General;

1 ~~8.~~ 10. "Payor" means any person or entity that adjudicates
2 processes, administers, controls, or funds payment or reimbursement
3 of a pharmacy claim including, but not limited to:

- 4 a. pharmacy benefits managers,
- 5 b. health insurers,
- 6 c. health maintenance organizations,
- 7 d. third-party administrators,
- 8 e. self-funded or fully insured health benefit plans,
- 9 f. government health programs,
- 10 g. manufacturer coupon card, copay-assistance, or patient
11 assistance programs,
- 12 h. discount card, voucher, rebate, or similar program
13 administrators, and
- 14 i. any affiliate, agent, or contractor acting on behalf
15 of an entity provided in this paragraph.

16 Payor does not include a covered individual;

17 11. "Pharmacy benefits management" means a service provided to
18 covered entities to facilitate the provision of prescription drug
19 benefits to covered individuals within the state, including
20 negotiating pricing and other terms with drug manufacturers and
21 providers. Pharmacy benefits management may include any or all of
22 the following services:

- a. claims processing, retail network management and payment of claims to pharmacies for prescription drugs dispensed to covered individuals,
- b. clinical formulary development and management services, or
- c. rebate contracting and administration;

~~9.~~ 12. "Pharmacy benefits manager" or "PBM" means a person, business, or other entity that performs pharmacy benefits management. The term shall include a person or entity acting on behalf of a PBM in a contractual or employment relationship in the performance of pharmacy benefits management for a managed care company, nonprofit hospital, medical service organization, insurance company, third-party payor, or a health program administered by an agency or department of this state;

~~10.~~ 13. "Plan sponsor" means the employers, insurance companies, unions and health maintenance organizations or any other entity responsible for establishing, maintaining, or administering a health benefit plan on behalf of covered individuals; ~~and~~

~~11.~~ 14. "Provider" means a pharmacy licensed by the State Board of Pharmacy, or an agent or representative of a pharmacy, including, but not limited to, the pharmacy's contracting agent, which dispenses prescription drugs or devices to covered individuals; and

1 15. "Receipt" means the date on which a pharmacy claim is first
2 received by a payor or any agent of the payor, regardless of
3 internal routing or processing.

4 B. Nothing in the definition of pharmacy benefits management or
5 pharmacy benefits manager in the Patient's Right to Pharmacy Choice
6 Act, Pharmacy Audit Integrity Act, or Sections 357 through ~~360~~ 360.1
7 of this title shall deem ~~an~~ an:

8 1. An employer a "pharmacy benefits manager" pharmacy benefits
9 manager of its own self-funded health benefit plan, except, to the
10 extent permitted by applicable law, where the employer, without the
11 utilization of a third party and unrelated to the employer's own
12 pharmacy:

- 13 a. negotiates directly with drug manufacturers,
14 b. processes claims on behalf of its members, or
15 c. manages its own retail network of pharmacies; or

16 2. A covered entity or plan sponsor a pharmacy benefits manager
17 solely because such entity or sponsor retains ultimate authority to
18 establish, adopt, modify, or approve its own prescription drug
19 formulary, including utilization management criteria or negotiating
20 directly with drug manufacturers, while contracting with a pharmacy
21 benefits manager, third-party administrator, or other vendor to
22 administer, process, adjudicate, or pay pharmacy claims on the
23 entity's or sponsor's behalf, provided that:
24

- 1 a. the covered entity or plan sponsor retains final
2 decision-making authority over formulary design and
3 formulary changes including, but not limited to, the
4 power to reject any addition, removal, tiering change,
5 prior authorization requirement, step therapy
6 requirement, or other utilization management
7 requirement, and
- 8 b. the pharmacy benefits manager or other vendor acts in
9 an administrative capacity only with respect to claims
10 processing, adjudication, pharmacy network
11 administration, and payment functions, and does not
12 possess unilateral authority to change the formulary
13 other than implementing changes authorized by the
14 covered entity or plan sponsor.

15 SECTION 2. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 360.2 of Title 59, unless there
17 is created a duplication in numbering, reads as follows:

18 A. Payment to a provider for a claim shall not be conditioned
19 upon post-transaction reconciliation, manufacturer funding cycles,
20 or internal settlement between program sponsors, administrators, or
21 affiliates.

22 B. A provider shall not bear the risk of delayed or failed
23 funding between a manufacturer, administrator, or other third party
24 after a claim is adjudicated or accepted at the point of sale.

1 C. A payor shall remit full payment for a clean claim no later
2 than thirty (30) calendar days after the receipt of the clean claim.
3 Nothing in this subsection shall prohibit or discourage payment in a
4 shorter time period, including expedited payment of electronically
5 submitted claims.

6 D. A payor shall provide a provider with a clear, accurate, and
7 individualized accounting of all payments made to the provider for
8 claims. The accounting shall be provided in a readable, itemized
9 format, including electronic remittance advice or other electronic
10 format commonly used in the pharmacy industry, and shall not require
11 the provider to aggregate, infer, or reconstruct claim-level payment
12 information. Such accounting shall be provided with each payment or
13 remittance and shall be presented at a claim-by-claim level that
14 reasonably allows the provider to identify:

- 15 1. A unique claim identifier or prescription number;
- 16 2. The date of service or dispensing date;
- 17 3. The total amount paid for the claim by the payor;
- 18 4. The total amount paid for the claim by the covered
19 individual or plan member;
- 20 5. The total amount paid to the pharmacy for reimbursement;
- 21 6. Any amounts withheld, reduced, or adjusted, including the
22 reason for such adjustment;
- 23 7. Any fees, assessments, or offsets applied to the claim;
- 24

1 8. The identity of the payor or program responsible for the
2 payment, including identification of any manufacturer coupon, copay-
3 assistance, or discount card program involved;

4 9. The final payment date for the claim; and

5 10. Any interest paid on a claim pursuant to subsection F of
6 this section.

7 E. A payor shall not:

8 1. Bundle or net multiple claims in a manner that obscures
9 claim-level payment information;

10 2. Provide only summary, aggregate, or plan-level payment data
11 in lieu of individualized claim accounting;

12 3. Condition access to individualized claim accounting on
13 additional fees, portal subscriptions, or contractual waivers;

14 4. Delay payment of an adjudicated or accepted claim beyond the
15 time frames established pursuant to subsection C of this section;

16 5. Retroactively reprice, reverse, or withhold payment after
17 adjudication, except as otherwise expressly permitted by state law;

18 6. Condition or withhold payment based on audits conducted
19 after adjudication;

20 7. Extend payment timelines through contract, policy, program
21 terms, or operating rules inconsistent with subsection C of this
22 section; or
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1 8. Shift payment risk to a provider due to internal disputes,
2 funding delays, or administrative issues of the payor or the payor's
3 affiliates.

4 F. Any payment not made within the time frame set forth in
5 subsection C of this section shall automatically accrue interest
6 beginning on the day after the expiration of such time frame. Such
7 interest shall accrue at a rate of ten percent (10%) per thirty (30)
8 days, calculated solely on the unpaid amount owed by the payor to
9 the provider. Interest assessed pursuant to this subsection shall
10 be non-waivable and shall be paid in addition to the underlying
11 claim amount.

12 G. A payor may be subject to any fines, penalties, and remedies
13 provided by state law. The Attorney General may levy a civil or
14 administrative fine not less than One Hundred Dollars (\$100.00) and
15 not more than Ten Thousand Dollars (\$10,000.00) per each violation
16 of this act.

17 H. Any contract, agreement, policy, or program term that
18 waives, limits, or extends the rights or timelines established
19 pursuant to this act shall be void and unenforceable.

20 I. The Attorney General may promulgate any rules necessary to
21 enforce the provisions of this act.

22 J. This section shall be applicable to all claims paid on or
23 after the effective date of this act regardless of the date a
24

1 contract or program was executed or the payment methodology or
2 reimbursement model used by the payor.

3 SECTION 3. This act shall become effective November 1, 2026.

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5 60-2-3798 CAD 3/12/2026 10:36:58 AM

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